

What one customer is worth, and what one costs

Nothing on these pages is typed. Every figure is derived from the customers the plan signs, the price they lock and the cost of serving them, and each one is set against the published benchmark for a company at this stage.

\$47,560

COST TO WIN ONE
CUSTOMER IN 2031

\$976,553

LIFETIME VALUE OF
ONE CUSTOMER

21x

VALUE AGAINST COST
TO WIN, 2031

5.8

MONTHS TO EARN BACK
THE COST OF WINNING ONE

1 Acquisition and lifetime value

Measure	2027	2028	2029	2030	2031
Gross new customers	69	184	259	214	244
Sales and marketing spend	\$423,788	\$1,968,132	\$4,894,049	\$8,306,956	\$11,604,711
Cost to win one customer	\$6,142	\$10,696	\$18,896	\$38,818	\$47,560
Recurring revenue per customer	\$61,033	\$78,544	\$96,399	\$112,889	\$125,906
Gross profit per customer per year	\$39,223	\$54,905	\$70,917	\$86,340	\$97,655
Lifetime value	\$392,231	\$549,048	\$709,173	\$863,404	\$976,553
Payback, months	1.9	2.3	3.2	5.4	5.8
Value against cost to win	64x	51x	38x	22x	21x

Legend. **Cost to win** is sales and marketing divided by customers won, so it includes money spent on firms that never signed. **Lifetime value** is gross profit per customer per year over the life implied by that tier's churn, capped at ten years because nobody should forecast further. The conventional test is three times the cost to win, and the benchmark payback for this revenue band is roughly thirteen to twenty months.

The two figures here that deserve more scrutiny

Both of them flatter the plan, and both are restated on a harsher basis below.

The cost to win leaves out sales salaries	They sit in team pay rather than in sales and marketing, so the real cost of winning a customer is higher than the line above. Restated with sales pay included, it runs from \$13,427 in 2027 to \$55,114 in 2031.
Lifetime value assumes ten years and no discount	Ten years is a stated cap rather than an observation, and no discount rate is applied, which is generous. A reader who prefers five years and a discount can halve the ratio and it still clears the conventional test by a wide margin.
Retention is measured on the subscription alone	Extra sales to an existing customer sit in the lines alongside the subscription, not in it, so net revenue retention and gross revenue retention are the same figure here. Cohort data replaces both as soon as renewals exist.
Churn is typed, not observed	Three per cent at the top and eight at the widest. There are no renewals yet, so these are assumptions carried openly rather than measurements.

2 The harsher reading, side by side

Measure	2027	2028	2029	2030	2031
Cost to win, sales and marketing only	\$6,142	\$10,696	\$18,896	\$38,818	\$47,560
Cost to win, including sales pay	\$13,427	\$17,982	\$25,365	\$46,647	\$55,114
Value against the fuller cost	29x	31x	28x	19x	18x

Legend. Even on the fuller cost, and with the lifetime value left undiscounted, the ratio stays far above the conventional test of three. The figure that would move it is not the cost of winning a customer. It is how long they stay.

Gross revenue retention lands at 93.3% in 2031.

It falls out of the per tier churn rates rather than being typed in. The published benchmark for a company at this stage is ninety one per cent, so the plan sits slightly above it, on assumed churn rather than on observed renewals.

Growth efficiency, and the two tests a later stage reader applies

Both of these read absurdly well early in a plan, because the denominator is tiny. They are shown anyway, with the reason they should be discounted.

Measure	2027	2028	2029	2030	2031
Net new recurring revenue	\$4,211,249	\$15,274,785	\$27,698,384	\$28,304,672	\$33,446,842
Revenue growth on the year	0%	358%	149%	67%	43%
Earnings margin	-0.1%	31.2%	45.2%	52.1%	55.5%
Magic number	0.0	36.0	14.1	5.8	4.0
Rule of forty	-0	389	194	119	98

Legend. The **magic number** is new repeating revenue this year divided by last year's sales and marketing spend, because the spend comes first. Above 0.75 is efficient growth. The **rule of forty** adds growth and earnings margin together, and forty or better is the test. Both figures are enormous here because the base they are measured against is very small, and both should be read as a direction rather than as a result.

3 Break even, stated as a customer count rather than as a date

Measure	2027	2028	2029	2030	2031
Cost base to be covered	\$2,073,989	\$4,904,705	\$7,639,113	\$9,670,989	\$11,657,189
Contribution per customer per year	\$39,223	\$54,905	\$70,917	\$86,340	\$97,655
Customers needed to break even	53	90	108	113	120
Customers live at the year end	65	238	473	645	835
Surplus	12	148	365	532	715

Legend. The cost base here excludes sales and marketing, which rises with revenue and is therefore a choice rather than a fixed obligation. Contribution is gross profit per customer per year, and the one time cost of winning them is not deducted.

Ninety customers cover the 2028 cost base. The plan holds 238.

That is the most useful way to read this plan, because it converts a date into a count. Break even is not a year on a chart. It is a number of signatures, and the plan clears it in its second selling year with a surplus of 148 customers.